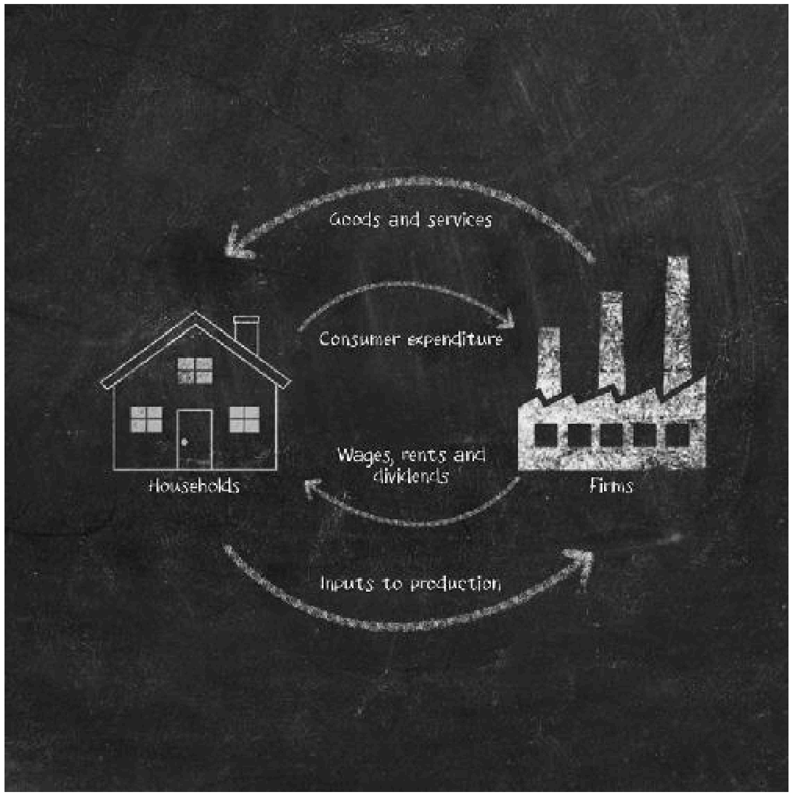
The circular flow of income



An economy can be thought of as a circular flow of income and spending between households and firms. Firms and households meet in two markets: that for goods and that for production inputs such as labour. In the goods market, money flows from households to firms as households make purchases. For example, when Pete spends 50p on bread, his payment for the bread becomes part of the bakery's revenues. In the market for inputs, money flows the other way as firms buy from households: the bakery needs labour, so it uses Pete's 50p to help pay its workers. In turn, the wage is used to buy another good and the circle is completed.

This way of thinking about the economy is fundamental to the calculation of national income. It shows that national income can be thought of in two ways: as the total output of goods or as the total income earned in an economy. The simple example given above just looked at wage incomes, but the circular flow also includes profits and rent.